

[Assuming previous section presented by group members have discussed and introduced some of the main elements of discussion]

## A analysis on default trends for federal student aid

### Necessary definitions and core concepts:

One of the main points in the payment cycle of student debt, is the stage of default. A stage of default is reached when there is a failure to make a payment on a loan taken from the federal government while a borrower is in repayment. There may be multiple stages of default.

The cumulative in outstanding dollars for default, is the total amount of default in a period of time.

Furthermore, Forbearance and deferment are also stages within the payment cycle in which the borrower(recipient of student aid) is not under repayment obligations, in deferment the government pays the interest on direct subsidized loans when they are subsidized. Within forbearance interest accrues on all loans including subsidized ones. There also has to be clarity on the type of loans that are covered within the data which covers a series of excel workbooks covering the following:

- Direct loans
- FFEL loans
- ED held FFEL loans

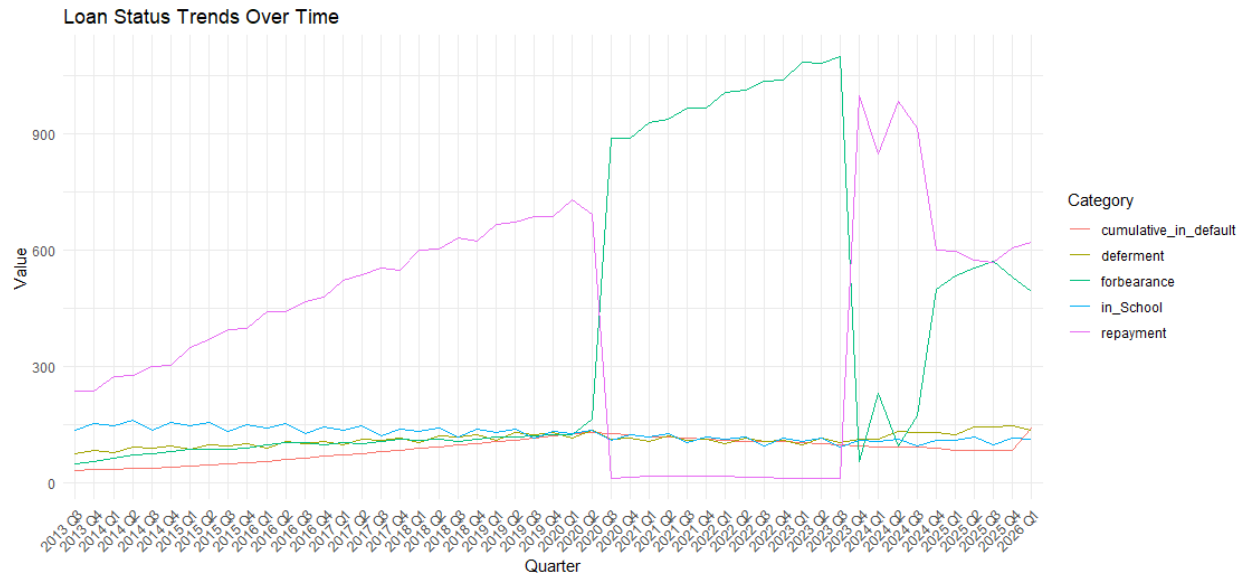
We make a important note here, only direct loans and ED-held federal loans (ED held means loans held and subsidized by the department of education, others are subsidized by commercial lenders.

These definitions are important to make here as through analysis over the trends of default over the following time period 2013 in the second fiscal quarter, till the first one of 2026:

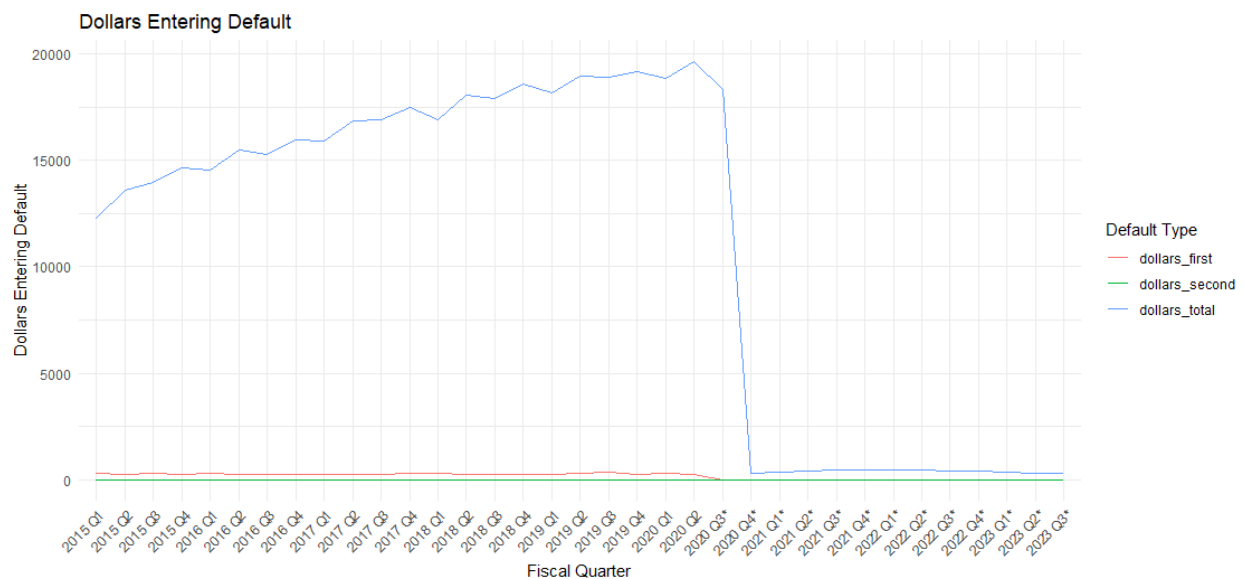
[ 2023 Q2 : 2026 Q1]

## Core observations in analysis:

Below is a analysis on the trends of loans status trends over time from the period mentioned previously, covering the different stages of direct loans.

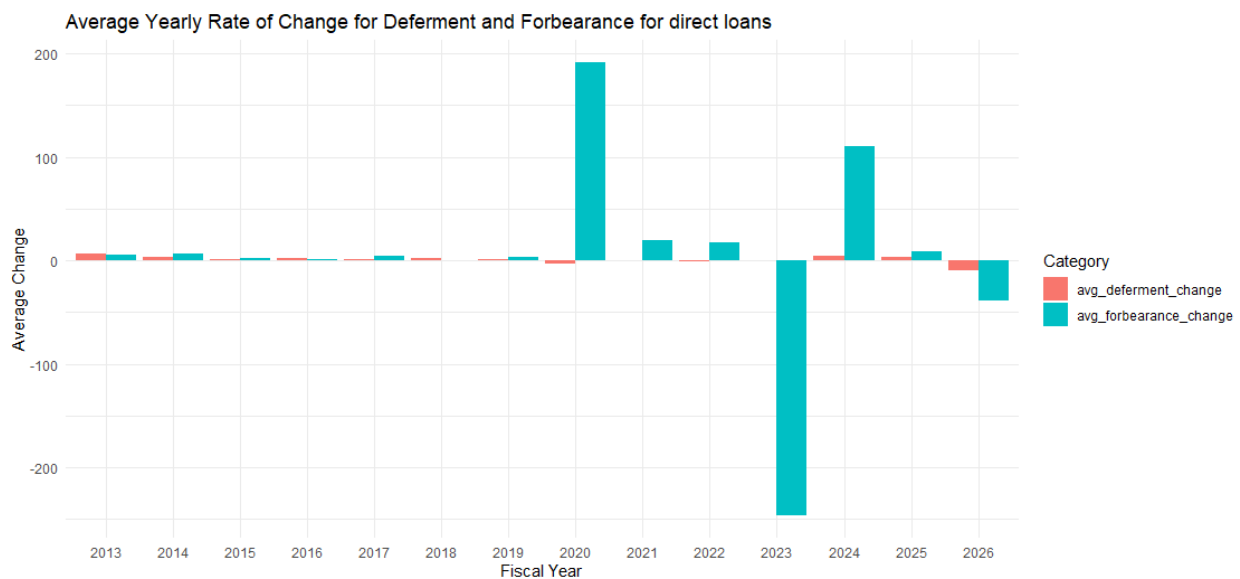


From the graph we observe the following important points. The cumulative in default although a bit crowded has a constant increase until the second and third quarter of 2020 when the pandemic hit. This is also the same time fiscal period where we see the convergence of forbearance and repayment. This was due to the CAREs act which placed borrowers into administrative forbearance. This also implies that borrowers were essentially not permitted to enter default. Which is supported by the following graph:



As we can observe within the second to third fiscal quarter of 2020, we see the dollars entering default plummet to zero. However this raises some ambiguity with why the same was not true for cumulative in default, and that demands clarity cumulative in default decrease steadily until 2026 as shown in the first graph, as either more and more borrowers were moved from repayment into administrative forbearance with a 0% interest rate, this although sounds similar to the earlier definition of deferment rather than forbearance, it is a specific type of law applied under extenuating circumstances.

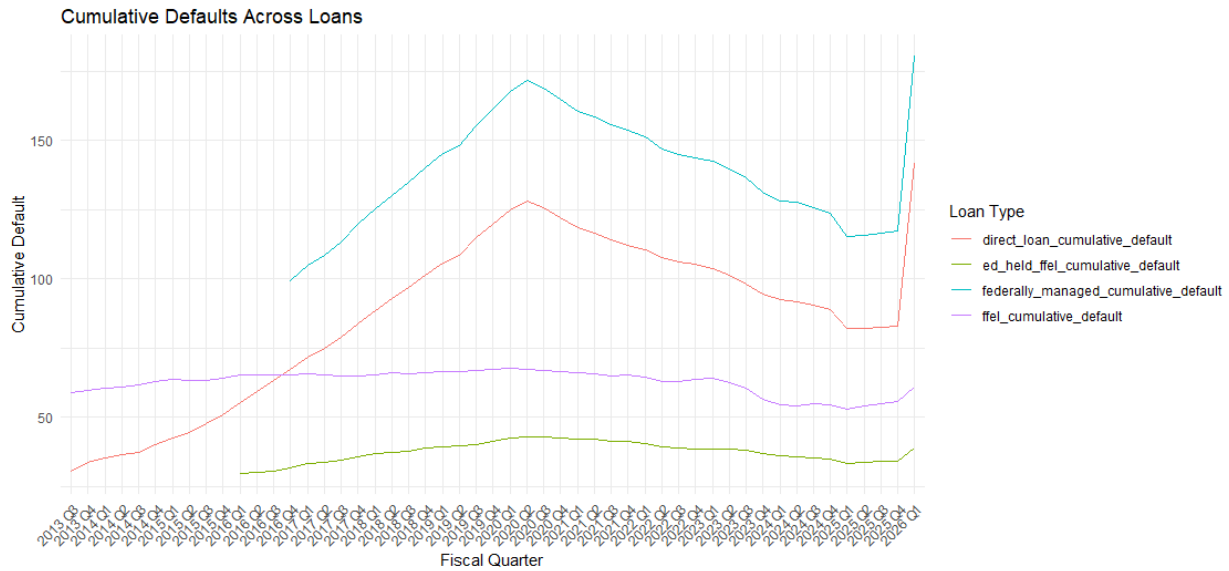
To further clarify we show the rate of change of dollars entering deferment or forbearance for direct loans:



As we can see in 2020 forbearance skyrockets, however the rate of change of deferment stays the same consistent almost going to zero during the same portion, the justification for this is under the CARE act even those in deferment were moved into administrative forbearance.

It is important to note the trend of these stages as they contribute to the overall picture of default trends. This also helps us draw another assumption on the affect of default for different types of loans as our previous observations were specific to direct loans.

The graph below is more extensive:



This graph supports the trend seen in direct loans, for ed held FFEL loans. It also provides another insight while the cumulative in default for ED held FFEL loans fluctuates the same as direct loans, however the same is not true for federally managed FFEL loans the reason being or cumulative default, neither fluctuated as starkly as ed held or federal loans but did under go a steady decline.